11. Payments are settled through peer-to-peer Txs, using the escrow or deposit that participating airlines hold in their shared smart contract. The payment settlement can be embedded in other suitable operations in the system but will be handled by the shared smart contract and recorded in the ledger. This settlement is automatically carried out by the smart contract logic.

Note that the request, response, and payment settlement are simultaneously recorded by the stakeholders of the consortium. This concept is illustrated by two of each of steps 3, 7, and 11 in figure 2.10, which shows only two airlines: A and airline B. You can extrapolate this two-participant scenario to a larger-scale scenario with N airline participants.

Figure 2.10 is a dissection of one simplified operation. Still, you can imagine how this automatic verification and validation and the distributed ledger could solve other problems discussed in the airline scenario. These features can be further leveraged for other intelligent applications and token-based payment systems, as you'll see in chapter 10.

2.7 Airlines smart contract

Now let's design the use case model and contract diagram by applying design principles 1, 2, and 4 (design, use case, contract diagram). Figure 2.11 shows the ASK use case